

deserves more attention than Wall Street has been willing to accord it for many years past.” (Chap. 42) I cherish Graham and Dodd’s description of the “attention” that was my work for 20 years, less for their quantitative accuracy than their evocative quality. “There are unbounded opportunities for shrewd detective work, for critical comparisons, for discovering and pointing out a state of affairs quite different from that indicated by the publicized per-share earnings.” (Chap. 31) *That* is the joy of distressed investing as I saw it: the thrilling investigations, the exciting discoveries, the creative and strategic thinking (the *creative* word again!) that deliver unique insights. A corporate indebtedness, being a private contract, has infinite variations. Even in the well-established U.S. leveraged loan and junk bond markets, there are differences in covenants, seniority, security, callability—sometimes extremely subtle and often highly controversial—that can make the difference between a losing trade and a winning one. As a company slides into trouble, conflicts arise over how to divide the corporate value pie among creditors, be it between secured and unsecured lenders, junior and senior bondholders, revolver and term loan bankers, first lien and second lien creditors—and all of them at once in an epic creditor battle. A good distressed investor is indeed a shrewd detective and a chess master, an army general and a diplomat, studying scenarios, positioning their bets, anticipating each stakeholder’s next move. Scores of distressed investments have the twists and turns of the best TV drama, with colorful protagonists and supporting characters, dark hours and hopeful dawns, spells of luck and misfortune, good and bad endings. It’s *Game of Thrones* and you’re Daenerys, Mother of Dragons.

A prescient recommendation from Graham and Dodd is to avoid analyzing the balance sheet or the income statement separately because these can be incomplete and manipulated, focusing instead on their relationship, like pieces of a puzzle that form a corporate picture.